

less than 0.5 percent. In other words, Satoshi rewarded early adopters with the most new bitcoin to get sufficient support, and in so doing created a big enough base of monetary liquidity for the network to use. He understood that if bitcoin was a success over time its dollar value would increase, and therefore he could decrease the rate of issuance while still rewarding its supporters.

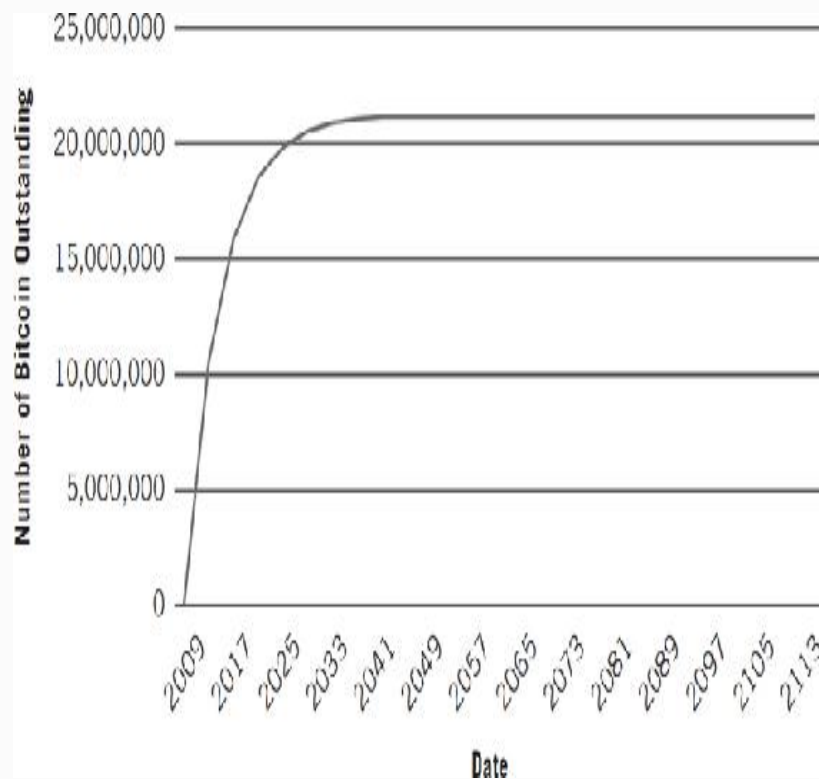


Figure 4.2 ■ Bitcoin's supply schedule (long-term view)

Long term, the thinking is that bitcoin will become so entrenched within the global economy that new bitcoin will not need to be issued to continue to gain support. At that point, miners will be compensated for processing transactions and securing the network through fees on high transaction volumes.